

Databricks Cost Optimization Results

40%

Total Cost Reduction

\$48,957

Saved/Month

\$587,484

Saved/Year

3 Phases

Optimization

Before & After

JULY 2025

\$124K

per month

NOVEMBER 2025

\$75K

per month

\$48,957 saved/month

\$587,484 annually

3-Phase Optimization Journey

PHASE 1

August 2025

Pool Cluster Decommissioning

- * Removed 24/7 pool clusters
- * Switched to on-demand compute
- * Added auto-termination (15 min)

\$21,310

saved (17% reduction)

PHASE 2

September 2025

Right-Sizing Compute

- * Standard_D4s_v3 VMs
- * 3 to 5 workers per cluster
- * 100% resource utilization

\$21,564

saved (21% reduction)

PHASE 3

October 2025

Task Group Clustering

- * Tables grouped by domain
- * Dedicated cluster per group
- * Reduced driver contention

\$7,335

saved (9% reduction)

Monthly Cost Breakdown

Month	Development	Production	Total	Change
July	\$62,960	\$60,602	\$123,562	Baseline
August	\$63,937	\$60,877	\$124,814	^ \$1,252 (+1.0%)
September	\$48,987	\$54,517	\$103,504	v \$21,310 (17.1%)
October	\$36,521	\$45,419	\$81,940	v \$21,564 (20.8%)
November	\$38,865	\$35,740	\$74,605	v \$7,335 (9.0%)

Phase Legend:



Phase 1: Pool Removal



Phase 2: Right-Sizing



Phase 3: Task Groups

Total Savings: \$48,957/month (40% reduction)

Key Data Insights

Peak Cost

\$124,814

August 2025 - before optimization

Lowest Cost

\$74,605

November 2025 - after all phases

Biggest Monthly Drop

\$21,310

Aug to Sep (17% reduction)

Development Savings

\$24,095/mo

Photon - Development (Dev + QA)

Production Savings

\$24,862/mo

Photon - Production

Annual Projection

\$587,484

If maintained for 12 months

Resource Group Comparison

Photon - Development (Dev + OA)



-38%

\$24,095
saved/month

Photon - Production



-41%

\$24,862
saved/month

Summary

\$49K

Saved/Month

\$587K

Saved/Year

40%

Reduction

Optimization Phases

Phase 1 (Aug)

Pool Removal

Phase 2 (Sep)

Right-Sizing

Phase 3 (Oct)

Task Groups

Same workload, lower cost, better performance